



United States
Attorney's Office
Western District of North Carolina



Charlotte Clinic Owner Agrees To Settle Allegations Of Medicaid Fraud

Monday, May 5, 2025

For Immediate Release

U.S. Attorney's Office, Western District of
North Carolina

CHARLOTTE, N.C. – Steven Osbey, of Kernersville, N.C., has agreed to entry of a consent judgment against him in the amount of \$4,711,159.00 in favor of the United States and State of North Carolina (the Governments), subject to a separate agreement regarding his participation in the Governments' ability to pay process. The judgment represents repayment to the government for allegations that Reign & Inspirations, LLC (R&I), a clinic co-owned by Osbey and Aljihad Shabazz, charged Medicaid for physician home visits that never occurred.

More specifically, the Governments alleged Osbey and Shabazz conspired to carry out an extensive health care fraud scheme wherein they submitted or caused to be submitted claims to NC Medicaid for in-home physician visits with patients that simply never occurred—in all, billing more than 30,000 hours of these purported physician visits and sometimes billing as if the physician provided over 100 in-home visits in a single day, purportedly lasting an hour each (an obvious physical impossibility).

This investigation was conducted in parallel between the civil and criminal divisions of the U.S. Attorney's Office. Shabazz pleaded guilty to criminal healthcare fraud conspiracy and money laundering charges and was [sentenced](#) to 52 months in prison followed by two years of supervised release.

The civil settlement obtained in this matter was the result of a coordinated effort between the Department of Justice and the FBI field offices in Charlotte, with assistance from the Medicaid Investigations Division of the North Carolina Attorney General's Office, and the Office of Inspector General of the United States Department of Health and Human Services. AUSAs Caroline McLean and Seth Johnson were responsible for the civil investigation.

The investigation and resolution of this matter illustrates the government's emphasis on combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

Topic

FALSE CLAIMS ACT

Component

[USAO - North Carolina, Western](#)

Related Content

PRESS RELEASE

Vsoft Corporation Agrees to Pay Nearly \$2.3 Million to Resolve Allegations It Improperly Obtained A PPP Loan

May 8, 2026

PRESS RELEASE

Charlotte Company Agrees to Pay Nearly \$1.2 Million to Resolve Allegations It Improperly Obtained a PPP Loan

April 27, 2026

PRESS RELEASE

Rheumatologist Agrees To Resolve False Claims Act Allegations Related To Unapproved Drugs

January 28, 2026



Western North Carolina

Main Office:

